

FEDERAL MARITIME COMMISSION

PETITION OF COSCO SHIPPING LINES
Co., LTD. (COSCO), ORIENT
OVERSEAS CONTAINER LINE LIMITED
(OOCL), AND OOCL (EUROPE)
LIMITED FOR AN EXEMPTION FROM
AGREEMENT FILING

Docket No. P2-17

Served: August 8, 2018

BY THE COMMISSION: Michael A. KHOURI, *Acting
Chairman*, Rebecca F. DYE, *Commissioner*.

ORDER GRANTING PETITION

On November 8, 2017, Cosco Shipping Lines Co., Ltd. (COSCO), Orient Overseas Container Line Limited (OOCL), and OOCL (Europe) Limited filed a petition with the Federal Maritime Commission (Commission) for an exemption from the requirement that they file agreements between them. The Notice of Filing and Request for Comments was published on November 17, 2017. 82 Fed. Reg. 54341. Comments were due by December 1, 2017, and the Commission received one comment from Ashley Furniture Industries, Inc. (Ashley Furniture).¹

¹ In a brief comment submitted to the Commission on November 22, 2017, Ashley Furniture expressed general support for granting the petition, as the carrier

Because the requested exemption will not result in substantial reduction in competition or be detrimental to commerce, the Commission grants the petition.

I. BACKGROUND

COSCO is a China-based ocean common carrier operating in numerous trades between ports in the United States and ports in other countries. Pet. at 2. OOCL is incorporated in Hong Kong, and OOCL (Europe) is an England and Wales corporation. OOCL operates as an ocean common carrier in numerous trades between the U.S. and foreign ports. Pet. at 2. OOCL and OOCL (Europe) are organized as separate legal entities, but they combine to provide service under the OOCL trade name. Both entities are wholly owned subsidiaries of Orient Overseas (International) Limited (OOIL). Pet. at 2–3. COSCO SHIPPING Holdings Co., Ltd. (CS Holdings), COSCO’s parent company, through its wholly owned subsidiary Faulkner Global Holdings Limited, is acquiring OOIL, and thereby acquiring OOCL. OOCL will thereafter be majority—not 100 percent—owned and controlled by CS Holdings. Pet. at 3. COSCO and OOCL will therefore be part of a common business enterprise operated by CS Holdings.

COSCO and OOCL, in their capacities as ocean common carriers, have applied for an exemption akin to 46 C.F.R. § 535.307, which exempts agreements between wholly owned subsidiaries from the Shipping Act’s filing requirements, following the consummation of CS Holding’s purchase of up to 90.1% and at least 58.5% of OOIL. The exact percentage of CS Holdings’ ownership of OOIL is variable because the parties intend to maintain OOIL’s public status on the Hong Kong Stock Exchange, which requires that at least 25% of the shares of OOIL be held by the public. Pet. at 3. Ultimately, OOIL’s ownership will reflect the following: CS Holdings will hold no less than 58.5% of OOIL’s shares, and

companies will be related, and Ashley Furniture did not believe the exemption would reduce competition or harm their business.

Shanghai International Port (Group) Co., Ltd (SIPG) will hold 9.9% of the shares. Pet. at 3. In any event, CS Holdings will be the majority shareholder of OOIL. SIPG, a company with “some other shareholding relationships with the Cosco family of companies,” is a holding company of port interests and is not an ocean common carrier. Pet. at 4. CS Holdings will continue to hold 100% of COSCO’s shares. Pet. at 4. The parties will retain the OOCL brand, management, and employees following the consummation of the transaction. Pet. at 4.

The parties are requesting that the Commission “replicate as to Cosco and OOCL the exemption automatically applicable to wholly-owned subsidiaries pursuant to” 46 C.F.R. § 535.307, applying the exemption to all agreements and activities between COSCO and OOCL so long as both parties are commonly owned and controlled. Pet. at 1. They argue that this is justified by the same policies considered by the Commission when it originally adopted § 535.307.

II. DISCUSSION

The Commission has the authority under 46 U.S.C. § 40103 (section 16 of the Shipping Act of 1984) to grant exemptions for agreements or activities if the exemption will not result in substantial reduction in competition or be detrimental to commerce. The Commission used this authority to promulgate 46 C.F.R. § 535.307, which provides: (1) that agreements between or among ocean common carriers and/or marine terminal operators are exempt from the Act’s filing requirements when the parties are wholly owned subsidiaries of the same parent company or one party is the wholly owned subsidiary of the other; and (2) that concerted activities resulting solely from such agreements are exempt from the prohibitions in 46 U.S.C. § 41105 (section 10(c) of the Shipping Act). See § 535.307. COSCO and OOCL have petitioned for an exemption akin to § 535.307. This would thus include an exemption from the agreement filing requirements of the Act and 46 C.F.R. part 535 for agreements between or among COSCO and OOCL, as well

as an exemption from the prohibitions in 46 U.S.C. § 41105 for any concerted activities by COSCO and OOCL that result from such agreements. Petitioners assert that while OOCL will be majority, not wholly, owned by COSCO's parent company, the same rationale behind § 535.307 justifies the exemption. Based upon the analysis below, the Commission grants the parties' petition for the requested exemption from the agreement-filing requirements and § 41105.

A. The Origins of Section 535.307

Section 535.307 was promulgated in 1988 after Crowley Maritime Corp. (Crowley) applied for an exemption from section 5 of the Shipping Act's agreement-filing requirements, the prohibitions against operating under unfilled agreements in section 10(a), and the section 10(c) prohibition against certain concerted actions. The Commission published notice of Crowley's petition in the Federal Register on December 28, 1987. 52 Fed. Reg. 48879. The Commission then published a further notice in the Federal Register on January 28, 1988, seeking comments on whether Crowley's requested exemption should apply on an industry-wide basis to all other ocean common carriers and marine terminal operators under similar terms and conditions. 53 Fed. Reg. 2537. The Commission extended the deadline for submission of comments, but none were received on either Crowley's application or the enlargement of scope.

In its application for the exemption, Crowley stated that "no regulatory interest is furthered by subjecting Crowley and its wholly-owned subsidiaries to statutory requirements intended to impose regulatory oversight on concerted activities engaged in by separate, competing entities, or intended to prevent separate entities from unfairly using their aggregate economic power." Crowley Pet. at 2. Crowley argued that the 1984 Act was not intended to confer Commission jurisdiction over relationships between and among companies sharing the same ownership. Crowley claimed that the legislative history of both the 1916 and 1984 Shipping Acts supported the idea that affiliated companies are not considered

competitors and are not intended to be regulated as such, citing to the Alexander Report of 1914 and its incorporation into the Shipping Act of 1916. Crowley Pet. at 11. Crowley read the 1916 Act as “expressly distinguish[ing] between consolidation of control resulting from the bringing of separate lines under common ownership” and “the making of agreements or understandings between carriers that had the effect of limiting competition.” Crowley Pet. at 11. Crowley also pointed to the Supreme Court’s decision in *Fed. Mar. Comm’n v. Seatrain Lines, Inc.*, 411 U.S. 726 (1973), in which the Court held that the Commission has jurisdiction over agreements between independently-owned carriers that fall short of actual consolidation, but not over mergers and stock or asset acquisitions. Importantly, Crowley emphasized that it was not seeking an exemption “for agreements or activity involving a Crowley company and another company in which Crowley is a partial owner or stockholder, even if its ownership gives it the power to control the company.” Crowley Pet. at 16. Crowley also referenced *Copperweld Corp. v. Independence Tube Corp.*, 467 U.S. 752 (1984), an antitrust case decided four years earlier that marked the abandonment of the “intra-enterprise conspiracy” doctrine. This outdated doctrine provided that agreements between a parent and its wholly owned subsidiary were potentially subject to Sherman Act § 1 liability.

The Commission considered Crowley’s argument and decided to grant Crowley the exemptions requested and apply them on an industry-wide basis to concerted activities between and among certain affiliated entities. 53 Fed. Reg. 11072 (Apr. 5, 1988).² The final rule did not discuss the reasons for granting the exemption in any great detail, simply noting that the Commission had found that the exemption would not substantially impair effective regulation by the Commission, be unjustly discriminatory, result in a substantial

² The exemption was originally codified at 46 C.F.R. § 572.308.

reduction in competition, or be detrimental to commerce.³ *See id.*

B. Applying the Rationale Behind § 535.307 to Majority-Owned Subsidiaries

Section 535.307 is clear in its specific application to agreements between and among wholly owned subsidiaries and/or their parents. The parties are asking the Commission to extend or “replicate” the exemption to a situation in which one subsidiary is only majority-owned. The parties argue that the same considerations that led the Commission to adopt § 535.307 apply in this scenario to justify a similar exemption.

The parties begin their argument by stating that nothing in the order establishing § 535.307 indicates that the Commission considered situations in which ownership of the subsidiary would be less than one hundred percent. This is true, as Crowley only sought an exemption limited to companies in which it held a one hundred percent ownership interest. Crowley Pet. at 16. The parties also argue that the Commission accepted Crowley’s argument of the “single business enterprise,” that “subsidiaries are not natural competitors,” but “are in fact managed to avoid competition, and are legally incapable of combining or conspiring together in restraint of trade or commerce within the meaning of the antitrust laws.” Crowley Pet. at 2. This argument by both Crowley and the petitioners is based heavily on the *Copperweld* decision. The Supreme Court stated in *Copperweld* that “the coordinated activity of a parent and its wholly owned subsidiary must be viewed as that of a single enterprise for purposes of § 1 of the Sherman Act. . . . Indeed, the very notion of an ‘agreement’ in Sherman Act terms

³ Prior to the enactment of the Ocean Shipping Reform Act of 1998 (OSRA), section 16 of the Shipping Act included four criteria for granting an exemption. OSRA deleted the first two criteria (that the exemption would not substantially impair effective regulation by the Commission or be unjustly discriminatory) leaving only the latter two criteria (that the exemption would not result in substantial reduction in competition or be detrimental to commerce). *See* Pub. L. No. 105-258, § 114; 46 U.S.C. § 40103.

between a parent and a wholly owned subsidiary lacks meaning.” *Copperweld*, 467 U.S. at 771–72.

Copperweld listed several factors that can aid in the determination of whether conduct is unilateral or concerted. The Court stated that “a parent and its wholly owned subsidiary have a complete unity of interest” and one “corporate consciousness.” 467 U.S. at 771. The subsidiary “acts for the benefit of the parent, its sole shareholder.” *Id.* The parent and subsidiary “share a common purpose whether or not the parent keeps a tight rein over the subsidiary,” with the parent able to “assert full control at any moment if the subsidiary fails to act in the parent’s best interests.” *Id.* at 771–72. “[T]he ultimate interests of the subsidiary and the parent are identical, so the parent and the subsidiary must be viewed as a single economic unit.” *Id.* at 772 n.18. In sum, the Court focused on who benefitted from the subsidiary’s activity, how aligned the parent and subsidiary’s interests were, and who had control and decision-making authority. The Court argued that, in the case of wholly owned subsidiaries, the initial acquisition of control is subject to scrutiny under § 1 of the Sherman Act and § 7 of the Clayton Act, and the enterprise is then subject to § 2 of the Sherman Act and § 5 of the Federal Trade Commission Act, so it is adequately policed without resort to the “intra-enterprise conspiracy” doctrine. *Id.* at 774–77.

The parties note that, although both § 535.307 and *Copperweld* involve only wholly owned subsidiaries, there are numerous courts that have applied the *Copperweld* rationale to situations in which the subsidiary is less than wholly owned but still under the parent’s legal ownership and control. The parties cite to *Novatel Commc’ns, Inc. v. Cellular Tel. Supply, Inc.*, in which that court held that the 51-percent ownership retained by the parent company over the subsidiary assured it of full control and that “it could intervene at any time that [the subsidiary] ceased to act in its best interests,” thus making it “incapable of conspiring for purposes of § 1 of the Sherman Act.” 1986 U.S. Dist. LEXIS 16017, at *25–26 (N.D. Ga. 1986). Likewise, the parties point to *Direct Media*

Corp. v. Camden Tel. & Tel. Co., in which that court held that 51 percent ownership was enough to find the conduct in question to be unilateral. 989 F. Supp. 1211, 1216 (S.D. Ga. 1997). The parties then turn to *Coast Cities Truck Sales v. Navistar Int’l Transp. Co.*, in which that court stated that courts should look beyond the mere ownership of the subsidiary and “determine whether the parent and subsidiary are inextricably intertwined in the same corporate mission, are bound by the same interests which are affected by the same occurrences, and exist to accomplish essentially the same objectives.” 912 F. Supp. 747, 764 (D. N.J. 1995). The parties conclude their analysis of relevant case law with *Bell Atl. Bus. Sys. Servs. v. Hitachi Data*, in which that court stated that, for the same reasons that a wholly owned subsidiary and its parent are considered the “same entity” because of the parent’s power to exercise full control over the subsidiary, “a parent and a subsidiary over which the parent has legal control cannot conspire to restrain trade.” 849 F. Supp. 702, 706 (N.D. Cal. 1994).

Such analysis of *Copperweld*-related case law is incomplete without mention of the Supreme Court case, *American Needle, Inc. v. NFL*, 560 U.S. 183 (2010), which the parties do not reference in their petition. In *American Needle*, the Court expanded on its decision in *Copperweld* while trying to ascertain whether the individual teams of the National Football League were capable of engaging in a “contract, combination, or conspiracy” as defined by § 1 of the Sherman Act, when acting through the National Football League Properties, a joint venture entered into by the teams to develop, license, and market their intellectual property. The Court pointed to its decision in *United States v. Sealy, Inc.*, when it held that members of a single entity violated § 1 as it was “controlled by a group of competitors and served, in essence, as a vehicle for ongoing concerted activity.” *American Needle*, 560 U.S. at 192 (citing *United States v. Sealy, Inc.*, 388 U.S. 350 (1967)). The Court stated that “[t]he key is whether the alleged ‘contract, combination, or conspiracy’ is concerted action—that is, whether it joins together separate decisionmakers.” *American Needle*, 560 U.S. at 195. According to the Court, “[a]greements made within a firm can

constitute concerted action covered by § 1 when the parties to the agreement act on interests separate from those of the firm itself, and the intrafirm agreements may simply be a formalistic shell for ongoing concerted action.” *Id.* at 200. The Court thus looked beyond *Copperweld*’s presumption that a single, merged entity can only act unilaterally and took a hard look at the individual interests of the participants of the joint venture to determine the nature of the joint venture’s activity—whether it was unilateral or concerted.

American Needle, therefore, built upon the earlier tenets of the *Copperweld* decision—the unity of the parent and subsidiary’s interests and the location of control and decision-making authority—to add an additional inquiry into the identities and interests of separate companies with ownership over the subsidiary (or in the case of *American Needle*, participants in the joint venture).

Applying this analysis to the case at hand, we do not believe that agreements between COSCO and OOCL or OOCL (Europe) would constitute concerted action subject to § 1 of the Sherman Act. CS Holdings will hold at least 58.5% of OOIL, giving it clear majority ownership of OOCL’s parent company and, significant for *Copperweld* analysis, full control over OOCL and OOCL (Europe). While COSCO and the two OOCL subsidiaries will operate under their respective brands, all will operate in the best interests of CS Holdings. The interests of the subsidiaries are therefore aligned, and if, for some reason, OOCL or OOCL (Europe) stop operating in the best interests of CS Holdings, CS Holdings can exert power over them through OOIL as majority shareholder.

Likewise, COSCO and OOCL or OOCL (Europe) coming to an agreement is not a “sudden joining of two independent sources of economic power previously pursuing separate interests.” *Copperweld*, 467 U.S. at 770. After the deal is consummated, the other shareholders of OOIL will be public shareholders and Shanghai International Port Group, a holding company of port interests. CS Holdings and SIPG are not competitors. The continued operation of OOIL is therefore not a “formalistic shell for ongoing

concerted action” between the shareholders and passes *American Needle* muster.

Because agreements between COSCO and OOCL or OOCL (Europe) would not raise implications under § 1 of the Sherman Act, granting petitioners an exemption akin to § 535.307 would not, in this specific instance, result in a substantial reduction in competition or be detrimental to commerce.

III. CONCLUSION

The Commission finds that the requested exemption will not result in substantial reduction in competition or be detrimental to commerce.

THEREFORE, IT IS ORDERED, that COSCO, OOCL, and OOCL (Europe)’s Petition is GRANTED.

IT IS FURTHER ORDERED, that agreements between or among COSCO and either OOCL or OOCL (Europe), or both, are exempt from the filing requirements of the Shipping Act and 46 C.F.R. part 535,

IT IS FURTHER ORDERED, that the concerted activities of COSCO, OOCL, and OOCL (Europe) are exempt from 46 U.S.C. § 41105 to the extent that those activities result solely from agreements between or among COSCO and either OOCL or OOCL (Europe), or both.

FINALLY, IT IS ORDERED, that this proceeding is discontinued.

Rachel E. Dickon
Secretary